Practice workbook · Financial and non-financial methods of motivation

Remuneration, bonus, commission, promotion and fringe benefits, plus job rotation, job enrichment and autonomy: meanings, effects and choosing between them.

31 question parts: 1 worked-example retry and 30 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: BUS-S2-25

1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

OLevels.com SCHOOL

(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

(iii) Which **one** of the following is a role of the human resources department?

Select **one** answer.

(1)

- ☒ **A** Reducing costs
- ☒ **B** Designing products
- ☒ **C** Customer service
- ☒ **D** Recruiting employees

(iv) Which **one** of the following is a benefit to a shareholder of having limited liability?

Select **one** answer.

(1)

- ☒ **A** Choosing who can buy shares
- ☒ **B** May build a better relationship with suppliers
- ☒ **C** Own possessions are not at risk
- ☒ **D** Employee motivation will increase

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Four Fitness is considering introducing sports drinks to sell to its customers and to do this it needs to hire a fridge to store the sports drinks. To decide whether it is a good business decision, it needs to work out the break-even level of output.

Figure 1 shows some financial data to assist this decision.

	€
Fixed costs	280
Variable cost per unit	0.70
Revenue per unit	1.50

Figure 1

(v) Which **one** of the following is the break-even level of output?

Select **one** answer. (1)

- ☒ **A** 280
- ☒ **B** 350
- ☒ **C** 420
- ☒ **D** 616

OLevels.COM SCHOOL

1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

Figure 2 is a financial extract from a gym equipment business that supplies *Four Fitness*.

	€
Total revenue	132 165
Total labour costs	54 000
Total material costs	17 000
Other costs	17 400

Figure 2

(vi) Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business?

Select **one** answer. (1)

- ☒ **A** It made a loss of €88 400
- ☒ **B** It made a loss of €61 165
- ☒ **C** It made a profit of €43 765
- ☒ **D** It made a profit of €78 165

(b) Define the term **trade bloc**. (1)

(c) Define the term **job production**. (1)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

6

P 7 8 7 9 4 R A 0 6 2 0

1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

(d) State **one** reason why *Four Fitness* would pay its employees more than the minimum wage.

(1)

As part of its 'social activities' *Four Fitness* is planning an evening event promoting healthy eating and living. The price of a ticket is €35. *Four Fitness* members will be given a 7% discount.

(e) Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working.

(2)

€ .....

(f) Explain **one** impact to a business of providing fringe benefits to employees.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 8 7 9 4 R A 0 7 2 0

7

Turn over ▶

1. Question 1 · part f · 3 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part f only.

Gianni Polvani's span of control is 14.

(g) Analyse the effectiveness of the wide span of control used by Gianni Polvani.

(6)

OLevels.com SCHOOL

(Total for Question 1 = 20 marks)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WR

1. Question 1 · part f · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 2 · part a · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) State **one** non-financial method of motivating staff at *Lavender*.

(1)

(b) State **one** function of the finance area in *Lavender*.

(1)

(c) Explain **one** way a business can use penetration pricing.

(3)

(d) Explain **one** reason why a business would have a short span of control.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part a · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a only.

2 *Backyard Shoez* is now planning to sell shoes to men and children as well as ladies.

(a) State **one** fringe benefit that *Backyard Shoez* can offer its employees.

(1)

(b) State **one** benefit to *Backyard Shoez* of using off-the-job training.

(1)

(c) Explain **one** reason why many businesses have a human resource functional area.

(3)

(d) Explain **one** method of above the line promotion a business could use.

(3)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 5 9 0 0 5 R A 0 8 1 6

3. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

OLevels.COM SCHOOL

4. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

Figure 1 shows the product life cycle diagram.

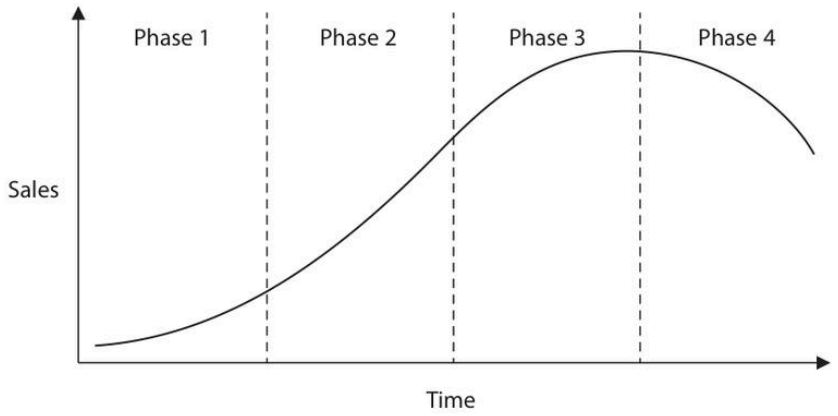


Figure 1

(iv) Which **one** is the correct label for Phase 2? (1)

Select **one** answer.

- ☒ **A** Growth
- ☒ **B** Decline
- ☒ **C** Introduction
- ☒ **D** Maturity

Loaf charges £165 for its day-long 'Seafood Masterclass' course. The cost to *Loaf* of running this course is £66.

(v) What mark up has *Loaf* applied to this course? (1)

Select **one** answer.

- ☒ **A** 99%
- ☒ **B** 150%
- ☒ **C** 231%
- ☒ **D** 250%

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
OLevels.COM SCHOOL

4. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS

1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

- ☒ **A** Provision of services
- ☒ **B** Exchange of goods
- ☒ **C** Extraction of raw materials
- ☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

- ☒ **A** The person can buy supplies from any supplier
- ☒ **B** The person is given support from an established business
- ☒ **C** The person is guaranteed a set wage
- ☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

- ☒ **A** 6.63%
- ☒ **B** 15.09%
- ☒ **C** 33.75%
- ☒ **D** 50.94%

OLevels.COM SCHOOL

5. Question 1 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

Figure 1 shows the cash flow of a business for a month.

	(£)
Opening balance	1 020 000
Cash inflow	360 000
Cash outflow	400 000

Figure 1

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

5. Question 1 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Define the term **commission**.

(1)

(c) Define the term **revenue**.

(1)

(d) State **one** possible reason why *HRMW* has a short span of control.

(1)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 6 2 4 2 9 A 0 5 2 0

5

Turn over

5. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 2 · part a · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

2 *Emirates* wants to encourage its employees to remain with the company and offers them incentives to do so. It offers all of its passengers a loyalty programme.

(a) State **one** non-financial method *Emirates* could use to motivate its employees.

(1)

(b) State **one** reason why *Emirates* has a loyalty programme for its passengers.

(1)

(c) Explain **one** benefit for a business of having full-time employees.

(3)

OLevels.COM SCHOOL

6. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 3 · part a · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a only.

3 (a) Define the term **remuneration**.

(1)

(b) Outline **one** reason why *NOF* would choose to use seasonal staff when harvesting its products.

(2)

NOF is looking to expand its product range by making and selling tubs of ice cream.

A tub of ice cream will sell for £2.50.

Variable costs will be £1.10 per tub of ice cream with fixed costs of £77 per day.

(c) Calculate the number of tubs of ice cream *NOF* will have to sell each day to break-even. You are advised to show your working.

(2)

.....Tubs of ice cream

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

7. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

Artify Studio provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

Artify Studio is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

(1)

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

OLevels.com SCHOOL

8. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

(1)

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

(1)

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

(1)

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 6 4 7 3 R A 0 4 2 0

8. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

Artify Studio imports sets of acrylic paint from Malaysia at a cost of 8.50 Malaysian Ringgit (MYR) per set.

The exchange rate is 1 MYR = 0.33 S$ (SGD).

(vi) Which **one** of the following would *Artify Studio* pay in SGD if they imported 15 sets of paints?

(1)

Select **one** answer

- ☒ **A** 2.81
- ☒ **B** 4.95
- ☒ **C** 15.00
- ☒ **D** 42.08

(b) Define the term **diseconomies of scale**.

(1)

(c) Define the term **job production**.

(1)

(d) State **one** financial method of motivation *Artify Studio* could use to motivate its employees.

(1)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

Artify Studio offers a 12% discount to parents if they book the 'Duo Parent and Child Art Camp' and the 'Children's Illustration Workshop' at the same time. The combined price for both courses before being discounted is S$285.

(e) Calculate the discounted cost of booking both courses at the same time.

You are advised to show your working.

(2)

S$ .....

(f) Explain **one** measure a business can use to judge its success.

(3)

.....

.....

.....

.....

.....

.....

.....

.....

.....

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8. Question 1 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 2 · part a · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) State **one** fringe benefit *Aude Rose* could offer its employees.

(1)

(b) State **one** reason why branding is important to *Aude Rose*.

(1)

(c) Explain **one** impact of ineffective communication on a business.

(3)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

9. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 3 · part a · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a only.

3 (a) Define the term **fringe benefits**.

(1)

(b) Outline **one** way *Irsi Chocolatier* could keep customer loyalty.

(2)

Irsi Chocolatier has current assets of €26 000 and current liabilities of €14 852.

(c) Calculate, to two decimal places, the current ratio. You are advised to show your working.

(2)

.....:1

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 3 · part a · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 In 2021 *M&M* moved from 20th to 2nd place as one of India's best workplaces.

(a) Define the term **autonomy**.

(1)

(b) Outline **one** reason why *M&M* might locate a new factory near to a labour force.

(2)

In 2020 *M&M* had current assets of 3 400 million Indian Rupees and current liabilities of 900 million Indian Rupees.

(c) Calculate, to 2 decimal places the current ratio for 2020. You are advised to show your working.

(2)

.....:1

OLevels.COM SCHOOL

11. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 2 · part a · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a only.

2 (a) State **one** non-financial method *AWG* may use to motivate its employees.

(1)

(b) State **one** task of an *AWG* employee working in the human resources department.

(1)

(c) Explain **one** benefit of globalisation to a small business.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 7 4 6 3 3 A 0 8 2 0

12. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

13. Question 1 · part a.i · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a.i only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

1 *Saha* is a small business in Türkiye (formerly known as Turkey) that opened in 2020 with 15 employees. It designs and manufactures robots which are used in hospitals, hotels and restaurants. In hospitals its robots are used to move medical supplies between departments. In hotels and restaurants, the robots are used to welcome customers as they arrive and deliver food and drinks to hotel rooms and restaurant tables. *Saha* provides a seven day a week customer service for all businesses buying its robots.

Many new businesses are entering the global robot market and are competing for market share. Competitors in Türkiye include *NIO, Zoox* and *Vention*.

Saha has ambitious growth plans and has started to design robots that will be used in the home to help people with cleaning, shopping, security and entertainment. It aims to become a multinational business within five years to manufacture robots in all continents of the world.

(a) (i) Which **one** of the following is a financial method used to motivate employees?

Select **one** answer. (1)

- ☒ **A** Job enrichment
- ☒ **B** Job rotation
- ☒ **C** Autonomy
- ☒ **D** Remuneration

OLevels.COM SCHOOL

(ii) Which **one** of the following is an example of secondary research?

Select **one** answer. (1)

- ☒ **A** Government reports
- ☒ **B** Surveys
- ☒ **C** Focus groups
- ☒ **D** Observations

13. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

14. Question 1 · part c · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

OLevels.COM SCHOOL

(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

14. Question 1 · part c · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

OLevels.COM SCHOOL

CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

14. Question 1 · part c · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Figure 1 is a financial extract from *CCT*.

	CYN
Total revenue	1 444 304
Total labour costs	750 288
Total material costs	234 465
Other costs	46 893

Figure 1

(vi) Using **Figure 1** which **one** of the following is correct for *CCT*?

Select **one** answer

(1)

- ☒ **A** It made a loss of 1 031 646 CYN
- ☒ **B** It made a loss of 412 658 CYN
- ☒ **C** It made a profit of 412 658 CYN
- ☒ **D** It made a profit of 1 031 646 CYN

OLevels.COM SCHOOL

(b) Define the term **branding.**

(1)

.....

.....

.....

(c) Define the term **autonomy.**

(1)

.....

.....

.....

P 7 8 7 9 5 A 0 5 2 0

5

Turn over ▶

14. Question 1 · part c · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** method of secondary market research *CCT* could use to collect market data.

(1)

In 2024 *CCT* had current assets of 561 258 CYN and current liabilities of 233 098 CYN.

(e) Calculate, to two decimal places, the current ratio for 2024. You are advised to show your working.

(2)

OLevels.COM SCHOOL

(f) Explain **one** benefit to a business owner of operating as a private limited company.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

14. Question 1 · part c · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

15. Question 2 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) State **one** financial method of motivation *CCT* could use with its employees.

(1)

(b) State **one** benefit to *CCT* of satisfying customer needs.

(1)

(c) Explain **one** way a business could increase its profit.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 7 8 7 9 5 A 0 8 2 0

15. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

16. Question 1 · part b · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

OLevels.COM SCHOOL

(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

16. Question 1 · part b · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Rabanne has promotional offers to encourage customers to buy its perfumes and aftershaves.

A customer buying Pour Homme and Lady Million together will receive a 12% promotional discount.

Pour Homme is priced at £85.00 (GBP) and Lady Million is priced £86.00 (GBP).

(iii) Which **one** of the following is the price of buying both items with the promotional discount?

Select **one** answer.

(1)

- ☒ **A** £129.65
- ☒ **B** £150.48
- ☒ **C** £160.80
- ☒ **D** £171.00

(iv) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is more up to date method of research
- ☒ **D** It is only carried out by market-research agencies

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

16. Question 1 · part b · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Figure 1 shows the monthly cash flow information for a business.

Opening balance	€76 000
Cash inflow	€54 000
Cash outflow	€34 000

Figure 1

(v) Which **one** of the following is the closing balance for this month?

Select **one** answer.

(1)

- ☒ **A** € 88 000
- ☒ **B** € 96 000
- ☒ **C** €110 000
- ☒ **D** €130 000

OLevels.COM SCHOOL

An American bank's interest rates have changed from 4.5% to 6.0%.

(vi) Which **one** of the following is a likely effect of this change for American businesses?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Decrease in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(b) Define the term **autonomy**.

(1)

.....

.....

(c) Define the term **qualitative data**.

(1)

.....

.....

16. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

17. Question 2 · part a · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

2 *Rabanne* aims to be the best provider of fragrances for men and women throughout the world. Therefore, it uses a range of methods to make sure it will achieve this aim.

(a) State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities.

(1)

(b) State **one** way *Rabanne* could measure its success as a business.

(1)

(c) Explain **one** reason why some businesses fail.

(3)

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

8

P 7 8 7 9 7 A 0 8 2 0

17. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

18. Question 1 · part a.ii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a.ii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

1 *Ocean Vibes* is a boat tour business located in two tourists resorts in Portugal. During the tours, it collects wildlife research. The idea came from two young scientists, Alfredo and Pedro, who share a passion for the environment, boats and science. *Ocean Vibes* employs boat tour guides and a sales team in each of the two resorts.

The main goal of *Ocean Vibes* is to connect tourism with science. It offers dolphin and bird-watching tours to tourists and uses the boat tours to collect research data on the wildlife. Its tour guides are knowledgeable, passionate and respectful of the environment.

Customers can book the boat tours online or in the tourist resorts. They are encouraged to leave reviews on *Ocean Vibes'* website.
Every month *Ocean Vibes* provides a boat tour for students and researchers who wish to study the wildlife.

There are many other businesses offering boat tours in Portugal which makes competing in the industry a challenge.

(a) (i) Which **one** of the following is a role within the marketing function?

(1)

Select **one** answer.

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Sales promotion
- ☒ **D** Training employees

(ii) Which **one** of the following is an example of a non-financial method of motivation?

(1)

Select **one** answer.

- ☒ **A** Bonus
- ☒ **B** Remuneration
- ☒ **C** Fringe benefits
- ☒ **D** Job rotation

O Levels .COM SCHOOL

18. Question 1 · part a.ii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a.ii only.

(iii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Introduction
- ☒ **B** Cash cow
- ☒ **C** Dog
- ☒ **D** Star

(iv) Which **one** of the following is an example of a public service provided by the government?

(1)

Select **one** answer.

- ☒ **A** Clothing retailer
- ☒ **B** Police force
- ☒ **C** Mobile phone provider
- ☒ **D** Grocery store

A bank in Portugal charges *Ocean Vibes* 12% interest on overdrafts.

(v) Which **one** of the following is the interest charged by the bank on an overdraft of €1 400?

Select **one** answer.

(1)

- ☒ **A** €140
- ☒ **B** €168
- ☒ **C** €1 388
- ☒ **D** €1 568

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

18. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

19. Question 1 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Samsung* is a South Korean public limited company. It designs and produces electronic products including mobile phones, televisions and laptops. It has factories and offices in 74 countries and employs more than 270,000 people worldwide.

Samsung is the leading producer of televisions. It competes with businesses such as *Apple* and *Xiaomi* in the smartphone market.

The aim of *Samsung* is 'to create superior products and services that contribute to a better society'. To achieve this, *Samsung* invests heavily in new technology and employs skilled engineers to design innovative products.

(a) (i) Which **one** of the following is a financial aim of a business?

(1)

Select **one** answer.

- ☒ **A** Survival
- ☒ **B** Independence
- ☒ **C** Control
- ☒ **D** Challenge

(ii) Which **one** of the following is a job in the secondary sector?

(1)

Select **one** answer.

- ☒ **A** Farmer
- ☒ **B** Grocery store manager
- ☒ **C** Restaurant waiter
- ☒ **D** Ship builder

OLevels.COM SCHOOL

19. Question 1 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

Figure 1 shows the number of employees in three factories owned by a European business.

	Number of employees
Factory 1	210
Factory 2	125
Factory 3	140

Figure 1

The business pays remuneration of €120 per day for each employee.

(iii) Which **one** of the following is the total daily remuneration cost for the three factories?

Select **one** answer. (1)

- ☒ **A** €15 000
- ☒ **B** €16 800
- ☒ **C** €25 200
- ☒ **D** €57 000

(iv) Which **one** of the following is an advantage of a hierarchical organisational structure?

Select **one** answer. (1)

- ☒ **A** It is less expensive to operate than a flat structure
- ☒ **B** It has a short chain of command
- ☒ **C** It has more job promotion opportunities for its employees
- ☒ **D** It has a wide span of control

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 8 9 7 1 A 0 4 2 0

19. Question 1 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Figure 2 shows a monthly cash flow statement for a business.

	€ (euros)
Opening balance	€76 000
Cash inflow	€59 000
Cash outflow	€34 000

Figure 2

(v) Which **one** of the following is the net cash flow for this month?

Select **one** answer.

(1)

- ☒ **A** €17 000
- ☒ **B** €25 000
- ☒ **C** €42 000
- ☒ **D** €101 000

(vi) Which **one** of the following best describes Taylor's motivational theory?

Select **one** answer.

(1)

- ☒ **A** Workers are motivated by money
- ☒ **B** Workers are motivated by esteem needs
- ☒ **C** Workers are motivated by hygiene factors
- ☒ **D** Workers are motivated by working in teams

(b) Define the term **job rotation**.

(1)

.....

.....

.....

19. Question 1 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

(c) Define the term **interest rate**.

(1)

(d) State **one** job that an employee of *Samsung* might do in the production department.

(1)

A factory took 20 hours to produce 1000 smartphones.

(e) Calculate the factory's productivity of smartphones per hour. You are advised to show your working.

(2)

..... smartphones per hour

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6

P 7 8 9 7 1 A 0 6 2 0

19. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

20. Question 2 · part c · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

2 *Tata Motor Company* has employees across the world. It prides itself on looking after all its employees and ensuring that their needs are met.

(a) State **one** non-financial objective for *Tata Motor Company*.

(1)

(b) State **one** reason why *Tata Motor Company* would employ casual staff.

(1)

(c) Explain **one** reason why a business uses fringe benefits.

(3)

OLevels.com SCHOOL

(d) Explain **one** reason why a business would use job production.

(3)

20. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

21. Question 2 · part c · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 *Cadbury* wants to appoint committed people who will become valued employees.

(a) State **one** item of information that an applicant might include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*.

(1)

(b) State **one** item of information that may appear in a job description for a *Cadbury* Production Line Supervisor.

(1)

(c) Explain **one** method a business could use to motivate its employees.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM — SCHOOL —

21. Question 2 · part c · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Explain **one** reason why a business has fully trained employees.

(3)

(e) Explain **one** reason why many manufacturing businesses use Kaizen in their factories.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

21. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

22. Question 3 · part b · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

3 *TUI* wants to maintain its reputation by continuing to provide quality holidays and experiences that customers will enjoy. This will encourage them to return to book future holidays with *TUI*.

(a) Define the term **multinationals**.

(1)

(b) Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

22. Question 3 · part b · 2 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

Figure 1 shows the current assets and current liabilities for *TUI* in 2022.

2022	€ '000
Current assets	7 758 152
Current liabilities	5 654 468

Figure 1

(c) Calculate, to two decimal places, the current ratio for *TUI* for 2022. You are advised to show your working.

(2)

OLevels.COM — SCHOOL —

.....

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

22. Question 3 · part b · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

23. Question 2 · part f · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

2 *Backyard Shoez* is now planning to sell shoes to men and children as well as ladies.

(a) State **one** fringe benefit that *Backyard Shoez* can offer its employees.

(1)

(b) State **one** benefit to *Backyard Shoez* of using off-the-job training.

(1)

(c) Explain **one** reason why many businesses have a human resource functional area.

(3)

OLevels.com SCHOOL

(d) Explain **one** method of above the line promotion a business could use.

(3)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

23. Question 2 · part f · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

(e) Explain **one** way the product life cycle can be extended.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

23. Question 2 · part f · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

Backyard Shoez wants to motivate its employees. It is considering two options:

Option 1: bonus payments

Option 2: job enrichment.

(f) Justify which **one** of these two options *Backyard Shoez* should use.

(9)

(Total for Question 2 = 20 marks)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

23. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

24. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

3 *BEXIMCO*, the owner of *Yellow*, is a multinational business that operates in many areas, including chemical, engineering and financial services.

(a) Define the term **multinational business**.

(1)

(b) Outline **one** benefit to *BEXIMCO* of owning *Yellow*.

(2)

In 2017 *BEXIMCO* had a total revenue of £147.5 million. *Yellow*'s revenue for the same year was £10.68 million.

(c) Calculate, to 2 decimal places, the percentage of revenue that *Yellow* contributed to *BEXIMCO*'s total revenue.

(2)

..... %

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

24. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Yellow prides itself on offering clothing at prices that all people can afford.

(d) Analyse why *Yellow* sells to all demographics.

(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

24. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Yellow is considering using non-financial rewards to help retain its employees.

It is considering **two** options:

Option 1: job enrichment

Option 2: job rotation.

(e) Justify which **one** of these two options *Yellow* should use.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

(Total for Question 3 = 20 marks)

24. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

25. Question 2 · part f · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

2 *TADS* is looking to expand by offering lessons in other musical instruments.

(a) State **one** reason why this could lead to the business failure of *TADS*.

(1)

(b) State **one** benefit to *TADS* of using casual staff to teach music lessons.

(1)

(c) Explain **one** purpose of market research for a business.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 6 2 4 2 6 A 0 8 2 0

25. Question 2 · part f · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Explain **one** way to measure the success of a business.

(3)

(e) Explain **one** impact of an increase in interest rates on a business.

(3)

OLevels.COM — SCHOOL —

25. Question 2 · part f · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

TADS currently pays its music teachers an hourly rate for every lesson they teach. It is looking to retain the teachers it currently employs.

It is considering the following two options:

Option 1: commission for each new pupil taught

Option 2: an increase in the hourly rate.

(f) Justify which **one** of these two options *TADS* should use.

(9)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

25. Question 2 · part f · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

DO NOT WRITE IN THIS AREA

(Total for Question 2 = 20 marks)

OLevels.com SCHOOL

25. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

26. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.

3 *NEXT* works hard to remain competitive with other retailers of similar products.

(a) Define the term **economies of scale**.

(1)

(b) Outline **one** reason why *NEXT* uses special offers.

(2)

Of *NEXT*'s 43,000 employees, 70% are women.

(c) Calculate the number of women working at *NEXT*. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

26. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Analyse why *NEXT* would want to remove any communication barriers within its organisation.

(6)

OLevels.com SCHOOL

26. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.

NEXT understands that some employees are motivated by non-financial methods and these may help with employee retention. To do this *NEXT* is considering the following two options:

Option 1: job rotation

Option 2: job enrichment.

(e) Justify which **one** of these two options *NEXT* should choose.

(9)

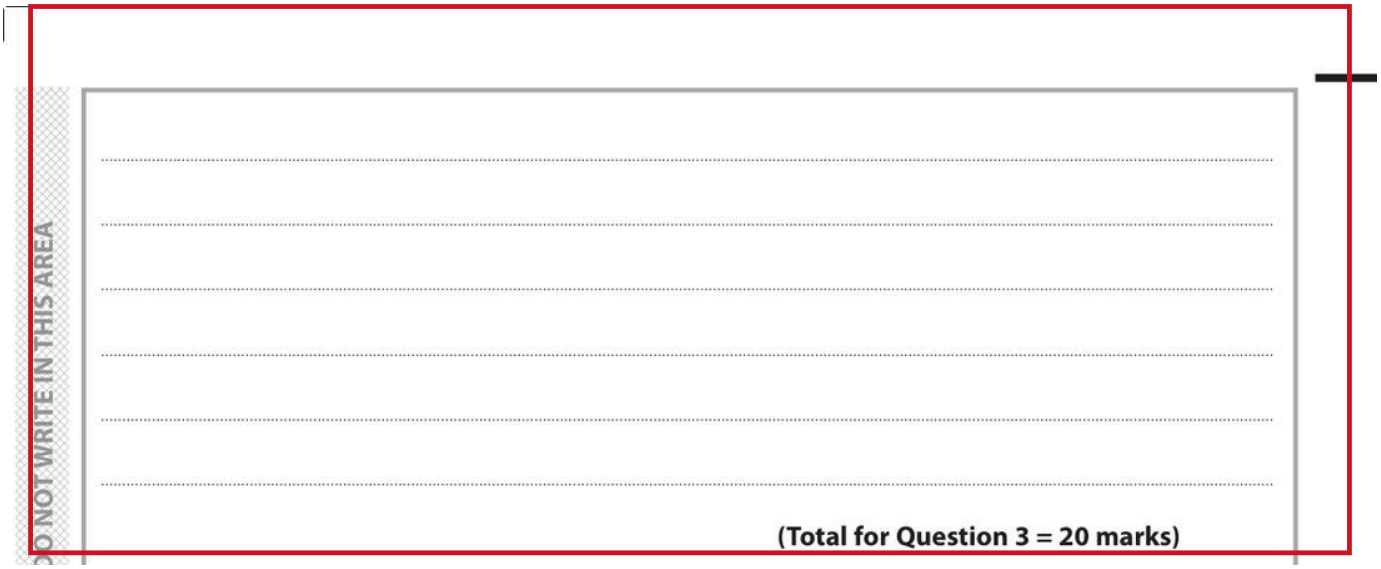
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

26. Question 3 · part e · 9 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.



OLevels.com SCHOOL

26. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

27. Question 2 · part f · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.

2 *Huawei* is one of many businesses that manufacture smartphones and tablets. It therefore needs to keep and retain its staff, so that production is continuous. This will help to maintain its customers.

(a) State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage.

(1)

(b) State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand.

(1)

(c) Explain **one** reason why having good public relations is important to a business.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

27. Question 2 · part f · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Explain **one** benefit of being a multinational business.

(3)

(e) Explain **one** reason why secondary research would be used by a business.

(3)

OLevels.com SCHOOL

27. Question 2 · part f · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.

Huawei use a range of motivational methods to ensure its employees remain with them and do not leave. It has to make a decision on which of the following two options it will use. It is considering two methods:

Option 1: financial

Option 2: non-financial.

(f) Justify which **one** of these two options *Huawei* should choose.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

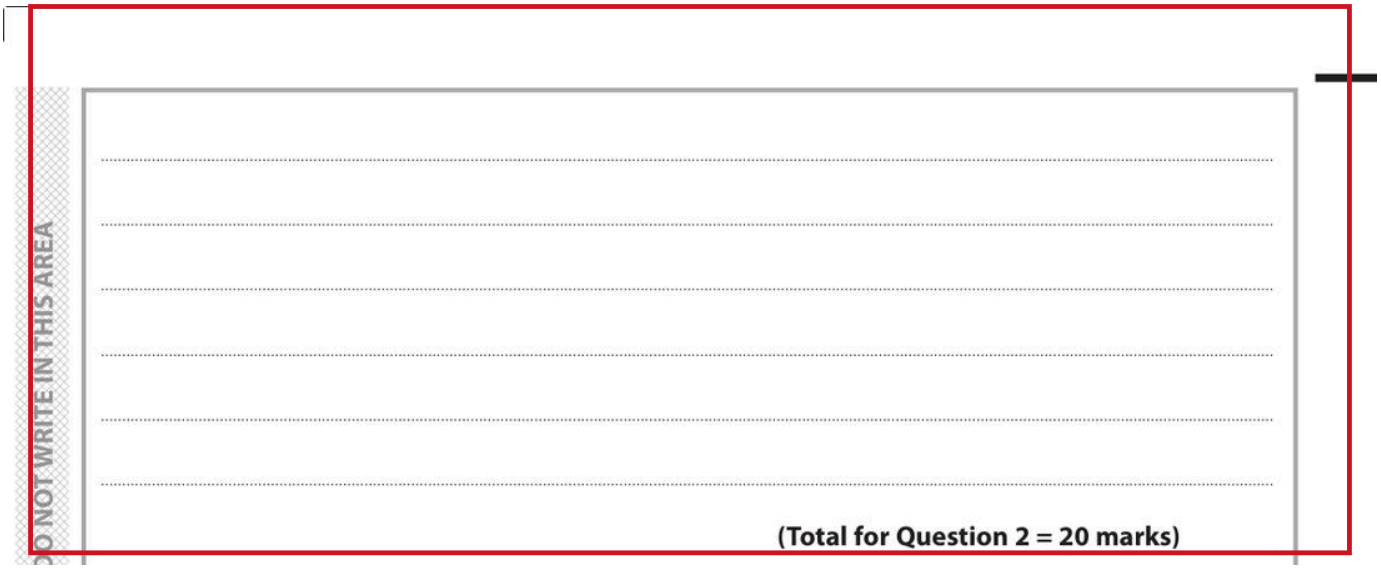
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

27. Question 2 · part f · 9 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.



OLevels.com SCHOOL

27. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

28. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 In 2021 *M&M* moved from 20th to 2nd place as one of India's best workplaces.

(a) Define the term **autonomy**.

(1)

(b) Outline **one** reason why *M&M* might locate a new factory near to a labour force.

(2)

In 2020 *M&M* had current assets of 3 400 million Indian Rupees and current liabilities of 900 million Indian Rupees.

(c) Calculate, to 2 decimal places the current ratio for 2020. You are advised to show your working.

(2)

.....:1

OLevels.COM SCHOOL

28. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(d) Analyse why *M&M* would want to compare its business with other vehicle manufacturers.

(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

28. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

M&M wants to retain the employees working in its business. To do this it is considering the following options.

Option 1: job rotation

Option 2: bonus.

(e) Justify which **one** of these two options *M&M* should use.

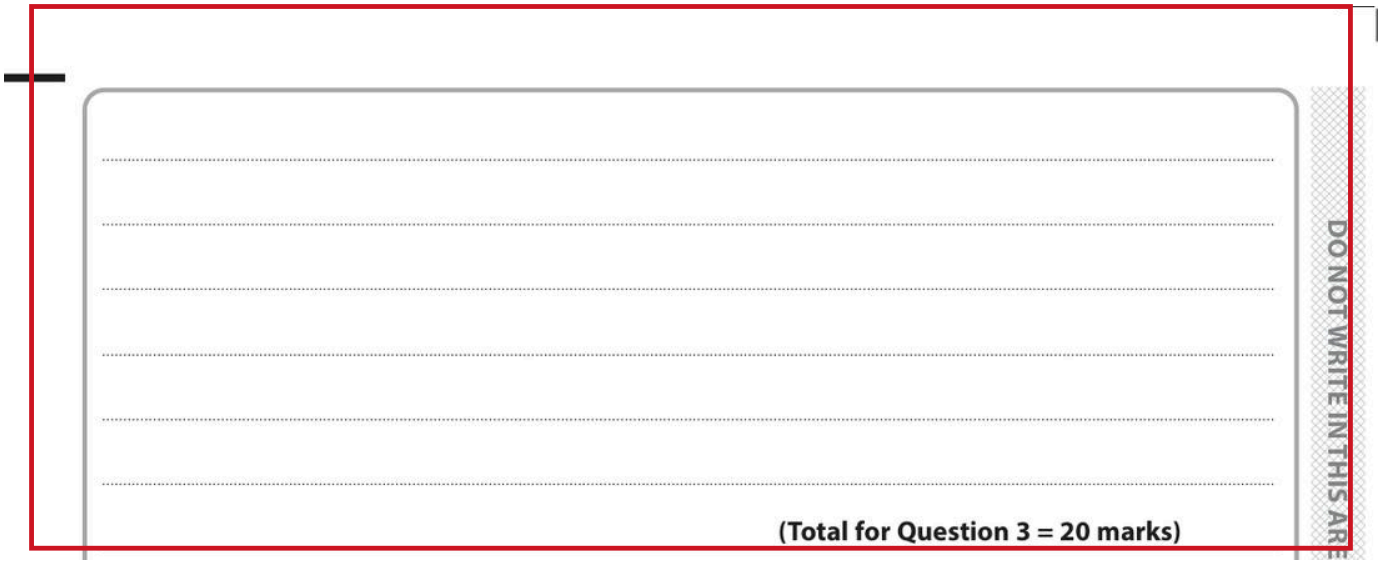
(9)

OLevels.COM SCHOOL

28. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.



OLevels.com SCHOOL

28. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

29. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 *IKEA* aims to retain as many of its employees as possible.

(a) Define the term **overdraft**.

(1)

(b) Outline **one** reason why *IKEA* would read reports issued by governments.

(2)

OLevels.com SCHOOL

IKEA is keen to reward long-serving employees. An employee who has worked with *IKEA* for 10 years is given a bonus of 7.5% on top of their annual earnings of 177 070 SEK.

(c) Calculate, to two decimal places, the bonus this employee would receive. You are advised to show your working.

(2)

.....SEK

29. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

(d) Analyse why *IKEA* shortlists candidates for positions in its factories.

(6)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

29. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

To motivate employees working in its factories, *IKEA* is considering two motivational methods.

Option 1: bonus

Option 2: job enrichment.

(e) Justify which **one** of these two options *IKEA* should use.

(9)

OLevels.COM SCHOOL

P 7 2 9 5 3 R A 0 1 5 2 0

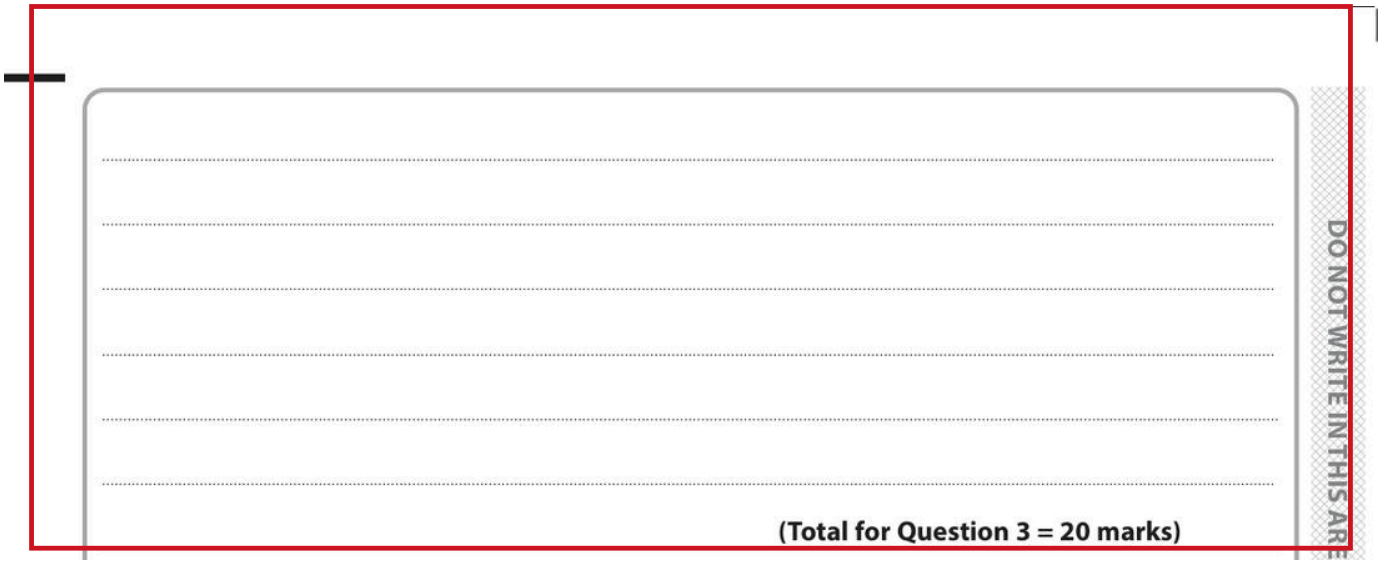
15

Turn over ▶

29. Question 3 · part e · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part e only.



OLevels.com SCHOOL

29. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

30. Question 2 · part f · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) State **one** reason why *Starbucks* should have good communication with its customers.

(1)

(b) State **one** way *Starbucks* could follow health and safety legislation.

(1)

(c) Explain **one** reason why many manufacturing businesses use just-in-time (JIT).

(3)

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

30. Question 2 · part f · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Explain **one** reason why it is important that businesses pay their suppliers on time.

(3)

(e) Explain **one** effect on a business if interest rates are decreased.

(3)

OLevels.com SCHOOL

30. Question 2 · part f · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

Starbucks wants to ensure that its employees remain with the business. To do this it is considering the following two methods:

Option 1: financial methods

Option 2: non-financial methods.

(f) Justify which **one** of these two methods *Starbucks* should choose.

(9)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

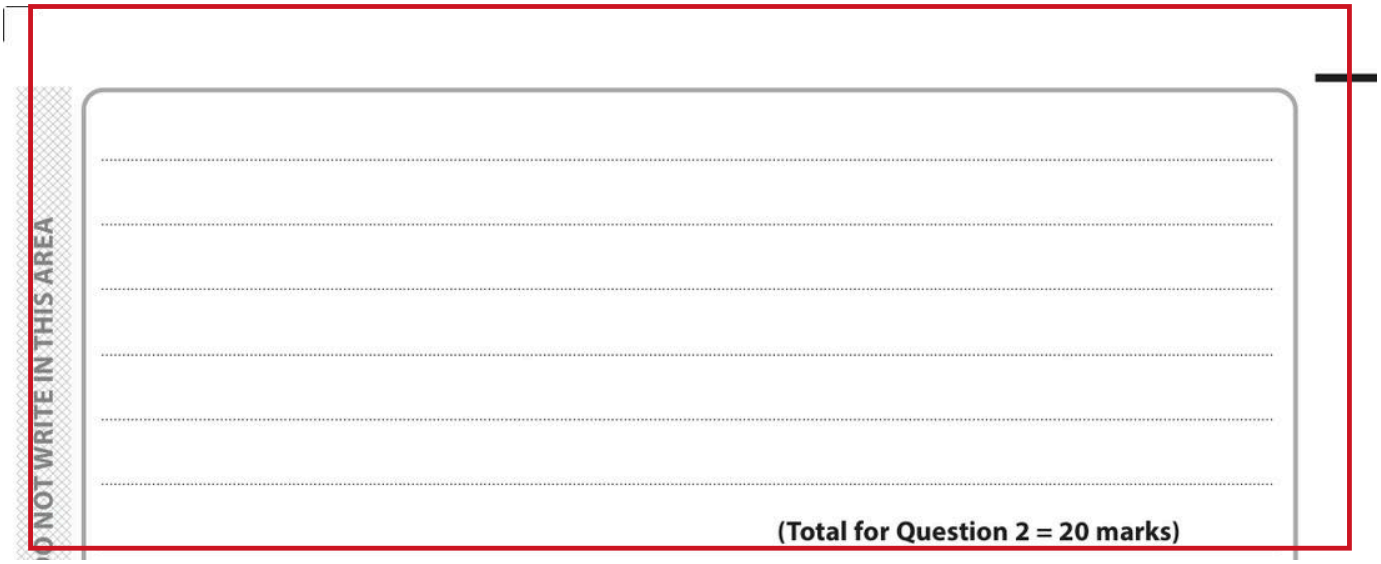
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

30. Question 2 · part f · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.



OLevels.com SCHOOL

30. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

31. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

4 **Figure 1** is an extract from *Irsi Chocolatier*'s Statement of Comprehensive Income.

Revenue	€330 606
Gross profit	€80 282
Other operating expenses	€12 692

Figure 1

(a) Calculate, to two decimal places, the operating profit margin. You are advised to show your working.

(2)

.....%

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

16

P 7 2 6 7 0 R A 0 1 6 2 0

31. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Analyse the importance of place to *Irsi Chocolatier*.

(6)

OLevels.com SCHOOL

31. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

Irsi Chocolatier is a business with three loyal employees. As it expands it wants to ensure its current and new employees remain happy and motivated within the workplace.

(c) Evaluate the impact of *Irsi Chocolatier* using financial methods of motivation on its employees. You should use the information provided as well as your own knowledge of business.

(12)

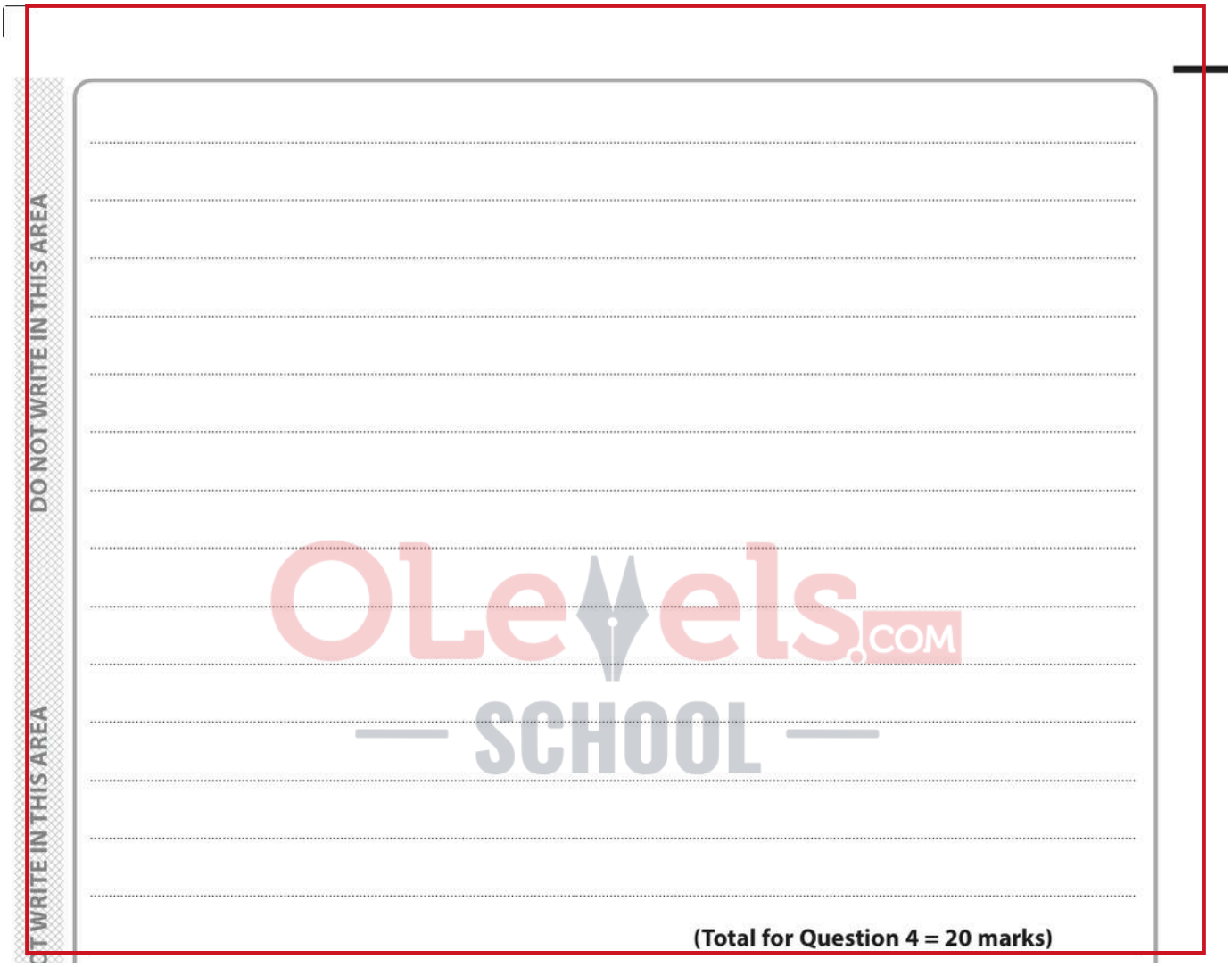
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

31. Question 4 · part c · 12 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.



OLevels.com SCHOOL

31. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL